

Quarterly Investment Report

Q2 2021 - BDO Pension Fund

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	57.5%	-2.25%	-5.00%
Credit	20.7%	+1.64%	-2.87%
Equities	10.3%	-3.26%	-7.78%
Property	9.0%	+1.19%	-1.96%
Cash	9.4%	+1.25%	+4.70%

Market Commentary

During Q2 2021, gilt yields moved by approximately -0bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.